

Comments on the Draft Crypto Asset Manual for cross-border activities

Annexure A — Financial Surveillance Department

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These written comments are submitted in the format prescribed in Annexure A to Exchange Control Circular No. 19/2026: commentator particulars and a four-column matrix (Section / Paragraph / Proposed amendments / Motivation). Telephone: +27 82 825 8285. Email: MoloBTC@proton.me.

The comments implement one distinction throughout. A transfer between a domestic Authorised CASP and an offshore CASP, or a change of beneficial owner across the CMA border, is a capital-flow event. A resident taking Bitcoin onto their own keys inside the Republic is not. Where a resident already presents Bitcoin on the financial statements as held to meet short-term operating commitments — the same role cash and cash equivalents play — a conversion of that Bitcoin into Rand, or Rand into that Bitcoin, at a domestic Authorised CASP or Authorised Dealer is a change of working medium, not an export. Where the resident already presents Bitcoin as an investment, a sale into Rand at that same desk is a realisation. Whether that realisation is taxable is a question for the Income Tax Act and for SARS. These comments do not ask FinSurv to hide it. They ask that it happen onshore.

Commentator details

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A.1 Definitions — insertions

Section	Paragraph	Proposed amendments	Motivation
A.1	After "Authorised Dealer"	Bitcoin means the Bitcoin network and the units recorded on its public blockchain. Bitcoin has no issuer, no administrator and no person with authority to freeze, recall or inflate the unit. Its supply schedule and consensus rules are not alterable by the National Treasury, FinSurv or an Authorised CASP. Bitcoin is distinct from an issued crypto asset.	The Manual treats every digital token as one class. Without a defined term, rules written for issued tokens are applied to a bearer protocol they do not describe. The same distinction was put to Treasury on 30 June 2026 and to SARS on 31 August 2026.
A.1	After "Bitcoin"	Sui generis bearer property means Bitcoin under the exclusive cryptographic control of a natural or juristic person, where title follows control of the private key or seed material, and where no Authorised CASP maintains an account relationship in respect of that unit.	Self-custodied Bitcoin is not an account, not an issued liability and not a security.
A.1	After the above	Adjacent currency means Bitcoin functioning as a medium of exchange or store of value alongside legal tender. It is not Rand, is not foreign currency as defined in this Manual, and is not an issued e-money or stable-value token. Recognition as an adjacent currency does not confer legal-tender status.	A.1 already excludes crypto assets from "foreign currency." Adjacent currency records that exclusion in positive terms so a key movement is not treated as an Authorised Dealer FX export. It describes the protocol's public-digital-cash function beside the Rand. It does not invent a tax election.
A.1	After "Resident temporarily abroad"	Self-custody means control of Bitcoin solely by a natural or juristic person through private keys, seed material, or a multi-signature or multi-party arrangement in which no Authorised CASP holds a unilateral spending key.	The Manual defines the wallet type but not the legal relationship. Self-custody is that relationship. It is not, without more, an offshore account or a CASP product.
A.1	After "Self-custody"	Self-custody transfer means a transfer of Bitcoin between wallets under the common beneficial control of the same person. It includes a withdrawal from a South African custodial wallet hosted by an Authorised CASP to that person's own non-custodial wallet where no offshore CASP participates and beneficial ownership does not change.	This is the movement Table 1 presently classifies as an export of capital. Defining it as a change of custody, not of owner or jurisdiction, is the precondition for correcting B.1(A)(ii) and Table 1.
A.1	After "Self-custody transfer"	Domestic self-custody event means a self-custody transfer effected by a resident while the receiving wallet remains under that resident's control. It is not an export or import of capital and is not a cross-border crypto asset transaction merely because the wallet is non-custodial.	A resident who bought Bitcoin from a South African CASP and withdraws it to their own keys has not taken capital out of the Republic.

Section	Paragraph	Proposed amendments	Motivation
A.1	Alphabetic point	Realisation means the conversion into Rand or another fiat currency, through an Authorised CASP or an Authorised Dealer, of Bitcoin that the resident already presents as an investment or other non-operating holding. Onshore receipt means the taking up, on the financial statements of a resident, of Bitcoin or Rand proceeds that represent (a) consideration for a South African-source business supply or (b) a return of or on an investment previously externalised in an approved manner. A realisation into Rand is a visible event at which the Income Tax Act may impose tax. This Manual should not prevent that event from occurring onshore.	Recognised proceeds must be able to come home. Blocking inward movement from own keys produces neither a FinSurv statistic nor taxable Rand.
A.1	After "Realisation"	Working-medium Bitcoin means Bitcoin that the resident already presents, under the financial reporting framework it applies (IFRS, IFRS for SMEs, or South African GAAP), as held to meet short-term operating commitments rather than as an investment — the same role cash and cash equivalents play. This Manual does not reclassify that Bitcoin as legal tender, as foreign currency, or as cash for the purposes of IAS 7.	FinSurv follows the purpose already on the face of the accounts. Commentators do not invent an election. The IFRS Interpretations Committee's view that a cryptocurrency holding is not IAS 7 cash is left untouched.
A.1	After "Working-medium Bitcoin"	Investment holding means Bitcoin that the resident already presents as an investment or other non-operating holding.	The same purpose test, other limb. No new book is created by this Manual.
A.1	After "Integrated form"	Issued crypto asset means a crypto asset in respect of which an identifiable issuer, administrator or other person has authority to mint, burn, freeze, recall or halt transfers. Bitcoin is not an issued crypto asset. A fiat-referenced stablecoin is an issued crypto asset and a central-bank-proxy instrument, even when the token carries a private product name. USD-referenced stablecoins, under whatever token names, sit under United States management and control. Reserve practice requires holdings of US Treasuries or equivalent cash under US jurisdictional control. They are not Bitcoin, not sui generis bearer property, and not an adjacent currency for this Manual.	The Manual's intermediary logic is coherent for issued tokens and for sovereign-unit proxies. It is not coherent for Bitcoin. Naming both the residual class and the proxy character stops a US-Treasury-backed token being read as adjacent currency.

A.1 Definitions — qualifications

Section	Paragraph	Proposed amendments	Motivation
A.1 p. 7	"Crypto asset"	After the three-limb definition, add: Bitcoin is a crypto asset of a distinct kind and is treated in this Manual as sui generis bearer property and an adjacent currency. Issued-crypto-asset rules, including rules written for fiat-referenced stablecoins, apply to Bitcoin only where this Manual so states.	Preserves their genus. Stops every later "crypto asset" rule applying automatically to Bitcoin.
A.1 p. 6	"Capital"	Inclusion of crypto assets applies to issued crypto assets. Bitcoin constitutes capital only at (a) a realisation as defined above or (b) a transfer between a domestic Authorised CASP and an offshore CASP that changes the beneficial owner or places the unit under an offshore CASP. Self-custody, a domestic self-custody event and a working-medium conversion inside the Republic are not capital-in-transit. A realisation into Rand remains a point at which tax may be due.	"Anything with a monetary value including crypto assets" is the sentence that turns a key movement into an export. Tax attaches at realisation of an investment holding, not at the key.
A.1 p. 10	"Transfer"	A transfer of Bitcoin is either (a) an intermediated transfer through an Authorised CASP or offshore CASP, or (b) a self-custody transfer. Only (a) may constitute an import or export of capital. A working-medium conversion inside the Republic through a domestic Authorised CASP or Authorised Dealer is not an import or export.	"Control regardless of the technology" treats operation of a private key as a capital export.
A.1 pp. 7–8	Export / import of goods or capital	A domestic self-custody event and a working-medium conversion inside the Republic are neither export nor import. An onshore receipt taken up as SA-source business proceeds or as a return of an approved foreign investment is an inward reportable receipt where it passes a CASP or AD. Rand proceeds of that receipt are the ordinary place at which tax may arise.	Recognised homecoming of value is not illicit; it is the moment the fiscus can see the profit.

Section	Paragraph	Proposed amendments	Motivation
A.1 p. 7	"Cross-border crypto asset transaction"	Replace "deemed by FinSurv" with: a transfer (a) between a domestic Authorised CASP and an offshore CASP, or (b) that effects a change of beneficial owner across the CMA border. It does not include a domestic self-custody event, a self-custody transfer or a working-medium conversion inside the Republic.	A circular deeming cannot be commented on and cannot give residents notice.
A.1 p. 8	"Non-custodial wallet"	Keep the technical sentence. Add: holding Bitcoin through a non-custodial wallet is self-custody. A transfer involving that wallet is a domestic self-custody event or a self-custody transfer unless an offshore CASP or a change of beneficial owner across the CMA border is present.	The wallet definition should not do the work of the cross-border definition.

Legal context (p. 4)

Section	Paragraph	Proposed amendments	Motivation
Legal context p. 4	Exchange-control lineage	Record that this Manual is a capital-flow instrument under the Exchange Control Regulations, not a charging provision of the Income Tax Act. SARS remains the authority on whether a realisation of an investment holding into Rand is taxable.	Keeps FinSurv and SARS in their own lanes. Tax-positive where the interface is onshore.
Legal context p. 4	CARF / CRS / FATCA	Automatic exchange of information administered by SARS does not convert a domestic self-custody event into an export. Reporting intermediaries remain the CARF surface.	Transparency frameworks target intermediaries. They do not rewrite the exchange-control geography of a key.

Introduction

Section	Paragraph	Proposed amendments	Motivation
Introduction	Purpose of the Manual	Keep the purpose. Add: the Manual does not tax, and does not prohibit, mere holding, a domestic self-custody event, a working-medium conversion inside the Republic as already presented on the resident's financial statements, or personal node operation.	Purpose language that is silent on own-keys is later read as a ban.
Introduction	Not legal tender / own risk	Keep the warning. Add: sui generis / adjacent-currency recognition does not confer legal tender and does not make SARB a guarantor.	The commentator does not ask for tender. The converse inference is the risk.
Introduction	POCA, FICA, POCDATARA, FAIS, SARS Act	Keep the list. Compliance with those Acts is not, without more, a FinSurv reporting event. The SARS Act does not authorise this Manual to treat holding, self-custody or a working-medium conversion inside the Republic as already presented on the resident's financial statements as a realisation of an investment holding. Where an investment holding is realised into Rand, SARS remains the authority on whether tax is due. These comments prefer that event onshore.	Criminal and tax statutes stay. They are not a second capital-control code.

B.1 prose gate (pp. 24–35)

Section	Paragraph	Proposed amendments	Motivation
B.1(A)(ii) p. 24	Deeming rule	Deem import/export at domestic CASP ↔ offshore CASP, or change of beneficial owner across the CMA border. A domestic self-custody event and a working-medium conversion inside the Republic as already presented on the resident's financial statements are not import or export.	This is the sentence Table 1 copies. Own-keys is a change of custody, not of jurisdiction.
B.1(A)(iii) p. 24	CASP-to-CASP domestic	Keep. Add: a domestic self-custody event and a working-medium conversion inside the Republic as already presented on the resident's financial statements are likewise deemed domestic.	Same geography.
B.1(C)(ii)(a)(cc) p. 27	"wallet other than a SA custodial wallet"	Replace with "a foreign custodial wallet or an offshore CASP." Own-keys in or out that is a domestic self-custody event, and a working-medium conversion inside the Republic as already presented on the resident's financial statements, are not cross-border and not reportable as flows.	As written, keys in Johannesburg are forced through the cross-border conditions.
B.1(C)(iii)(a)(dd) p. 28	Resident export-deeming	CASP → foreign custodial / offshore CASP = export within SDA or FCA, reportable outward. CASP → that resident's own non-custodial wallet = domestic self-custody event; no allowance; not outward.	This is the sentence that makes withdrawing to own keys spend the R2 million / R10 million.
B.1(C)(iii)(a)(ee) p. 28	Resident inward	Keep inward from foreign custodial wallets. Add: onshore receipt from own keys into a SA custodial wallet is permissible. Realisation of an investment holding into Rand may be reported as inward and remains the point at which tax may be due. A working-medium conversion into Rand is not that realisation and is not illicit. Prior keys do not make the receipt illicit.	Closing this path gives FinSurv no statistic and SARS no assessment base.
B.1 SDA (hh)(1)	"or a non-custodial wallet"	SDA applies to a foreign custodial wallet or offshore CASP. A transfer to the resident's own non-custodial wallet that is a domestic self-custody event is not a use of the SDA.	The SDA is a coherent externalisation tool. It is not a tax on taking custody.
B.1 FCA	Non-custodial limb / AIT	FCA and AIT attach to a foreign custodial wallet or offshore CASP. A domestic self-custody event does not require an AIT and does not consume the FCA.	A resident taking their own keys should not need a SARS PIN letter to leave a CASP.

Table 1 (pp. 71–74)

Section	Paragraph	Proposed amendments	Motivation
Table 1 p. 71	Classification principle	Classify by the A.1 geography: offshore-CASP legs and changes of beneficial owner across the CMA border are cross-border. Domestic self-custody events and working-medium conversions inside the Republic are not.	Table 1 must follow B.1, not rewrite it.
Table 1 p. 72	Resident outward third row	Split. Offshore CASP / foreign custodial = export of capital within SDA or FCA, reportable outward. Own non-custodial wallet = domestic self-custody event; not an export; not an allowance event.	This is the cell that currently spends the allowances on a key.
Table 1 p. 72	Resident inward fourth row	Keep offshore CASP → domestic CASP as import / inward. Delete "transfers originating from non-custodial wallets." Insert: onshore receipt from own keys; realisation of an investment holding into Rand may be inward and may be taxable; a working-medium conversion inside the Republic is domestic and is not that realisation.	The fifth column is the bar on recognised profit. Opening it is tax-positive.
Table 1 p. 73	Non-resident inward	Delete "inward transfers originating from non-custodial wallets are non-permissible." Approved value returning from that non-resident's own keys is not illicit capital.	The published cell traps approved value off the CASP.
Table 1 p. 74	Non-resident outward	Split as for the resident third row.	Same defect.
Table 1	Missing class	Insert: holding; common-control self-custody transfers without a CASP; operating a node. Not a cross-border crypto asset transaction. Not reportable. Ordinary criminal law only. Not, without more, taxable. Tax arises at realisation of an investment holding or at another interface the Income Tax Act names.	Silence is later read as "everything else is non-permissible."
Table 1 p. 72	Entity fifth column	Narrow to: entities may not use an individual's SDA/FCA. Insert entity domestic self-custody, working-medium presentation on the financial statements, working-medium conversion inside the Republic, and onshore receipt. Realisation of the entity's investment holding into Rand remains available for accounting and tax.	Allowance-abuse is the mischief. Treasury custody and the booking of taxable profit are not.

Table 2 (pp. 75–88)

Category 1 remittance rows (client never owns the unit) stand, save the CMA "or non-custodial" limb.

Section	Paragraph	Proposed amendments	Motivation
Table 2 Cat 1 p. 78	CMA remittance	If CMA residents remain outside the remittance product, say "offshore CASP" only. Delete "or the individual's non-custodial wallet."	Product design is not a ban on keys.
Table 2 Cat 2 p. 79	Resident outward	Split. Offshore CASP / foreign custodial, within SDA or FCA = export / outward. Own keys = domestic self-custody event / non-reportable.	Table 1's third row written as a reporting line.
Table 2 Cat 2 p. 81	Non-custodial → CASP = non-permissible	Replace with domestic self-custody event / onshore receipt. Report inward only on a later realisation of an investment holding into Rand. A working-medium conversion into Rand is not that realisation and is not illicit. The investment realisation is the event at which tax may be due.	The most damaging cell in Table 2. Flipping it is a tax-positive move as well as a capital-flow correction.
Table 2 Cat 2 pp. 82–83	Non-resident copies	Apply the same inward flip and outward split.	Approved-funds non-residents must be able to return to the CASP.
Table 2 Cat 2 pp. 85–86	Contract-worker block	Apply the same two replacements so the ban does not survive in a side class.	Category 2 copies the defect into every party class.
Table 2 Cat 2 p. 87	Entity outward = non-permissible	Split. Offshore CASP may remain restricted if there is no entity FCA. Own-keys under the entity's control = domestic self-custody event. A working-medium conversion inside the Republic is domestic.	Corporate treasury self-custody is not allowance-abuse.
Table 2 Cat 2 p. 87	Entity inward = non-permissible	Open for onshore receipts and for own-keys → own CASP wallet. Realisation of an investment holding into Rand may be reported inward and may be taxable. A working-medium conversion inside the Republic is not that realisation.	The published cell closes the company's books to recognised foreign performance.
Table 2 Cat 2 p. 87	CMA buy/sell	No comment on product design. These cells do not speak to self-custody outside a CASP.	Same as Category 1 CMA.
Table 2 Cat 3 p. 88	Pointer	Every accepted Category 1 and 2 amendment applies to Category 3 without restatement.	Category 3 has no independent rows.

C.1 FinSurv Reporting System (pp. 48–56)

Section	Paragraph	Proposed amendments	Motivation
C.1(A)(i) p. 48	Reporting entities	The reporting entity is an Authorised CASP. A person in self-custody, a self-custody transfer, a domestic self-custody event, a working-medium conversion inside the Republic as already presented on the resident's financial statements or a node operator does not file by reason of those acts.	Name the subject of the duty.
C.1(A)(i) p. 48	"Transactions"	Transactions reported under C.1 are the qualified A.1 class, and a realisation of an investment holding into Rand where Tables 1 and 2 so require. Holding, own-keys, working-medium conversions inside the Republic and nodes are not FinSurv transactions. C.1 should capture the taxable realisation, not the prior keys.	BoP and foreign-debt statistics do not need own-keys inside the Republic. Taxable Rand onshore is a FinSurv-relevant interface.
C.1(E)(i)(a) p. 56	Inward module	Own-keys onto a SA custodial wallet is not an inward cross-border item. Report inward on a later realisation of an investment holding into Rand of recognised proceeds. A working-medium conversion inside the Republic is not that item.	Otherwise the CASP is told both to refuse the deposit and to file it as an illicit import.
C.1(E)(ii) p. 56	Integrated form	Domestic self-custody events, own-keys deposits and working-medium conversions inside the Republic sit, if at all, under NON REPORTABLE and do not require an integrated form. The form stays for offshore-CASP legs and required realisations of an investment holding.	The form is how FinSurv attaches identity to a flow.
C.1(D) pp. 48–55	Cloud / offshoring	No amendment to CASP cloud, ring-fence, five-year retention or 48-hour access rules. Add: nothing in C.1 requires a person in self-custody to place seed material, private keys or a node's data under those rules. Specifications unpublished; comment reserved.	A non-custodial wallet is not a FinSurv source system.

What this submission is not

- Ask that Bitcoin be declared legal tender, or that the South African Reserve Bank guarantee the unit.
- Ask that POCA, FICA, POCDATARA or FAIS be disappplied.
- Ask Authorised CASPs to stop reporting their offshore-CASP books, or attack the single discretionary allowance or foreign capital allowance as limits on genuine externalisation to an offshore CASP.
- Ask FinSurv to hide a realisation of an investment holding into Rand from SARS. Where Bitcoin presented as an investment becomes Rand at a domestic Authorised CASP or Authorised Dealer, that is the event at which tax may be due. The proposal is that this event happen onshore, on a financial statement, in a reporting module FinSurv already has.
- Treat a fiat-referenced stablecoin as Bitcoin, as sui generis bearer property, or as an adjacent currency. Those tokens are issued crypto assets and central-bank-proxy instruments.
- Reclassify Bitcoin as cash for the purposes of IAS 7, or invent a tax election. Purpose follows the financial statements the resident already keeps.
- Reopen the comments filed with SARS on 31 August 2026 or the objection to the Draft Capital Flow Management Regulations filed on 30 June 2026. Those instruments are cited as context only.

Supporting papers — full locations

Cited for context only. Not additional comments on this Manual.

Canonical repository

<https://github.com/MoloBTC-Org/bsrf>

Licence — Bitcoin Sovereign Open Source Licence (BSOL) v1.0

<https://github.com/MoloBTC-Org/bsrf/blob/main/LICENSE.md>

Tier 1 — Bitcoin as sui generis bearer property

https://github.com/MoloBTC-Org/bsrf/blob/main/foundations/02_Tier1_Sui_Generis_Bearer_Property_v1.md

Tier 1 — Bitcoin as adjacent currency under international law

https://github.com/MoloBTC-Org/bsrf/blob/main/foundations/03_Tier1_Adjacent_Currency_v1.md

Tier 1 — Bitcoin self-custody as sovereign monetary infrastructure

https://github.com/MoloBTC-Org/bsrf/blob/main/foundations/04_Tier1_Sovereign_Monetary_Infrastructure_v1.md

Tier 1 executive overview

https://github.com/MoloBTC-Org/bsrf/blob/main/foundations/01_Tier1_Executive_Overview_v1.md

Open Letter on Bitcoin Separation (30 June 2026)

https://github.com/MoloBTC-Org/bsrf/blob/main/Open_Letter_Bitcoin_Separation.md

Objection to the Draft Capital Flow Management Regulations 2026 (filed 30 June 2026)

https://github.com/MoloBTC-Org/bsrf/blob/main/jurisdictions/South_Africa/Objection_Letter_Draft_Capital_Flow_Management_Regulations_2026.md

Objection and recommendations — SARS Draft Guide to the Taxation of Crypto Assets (filed 31 August 2026)

https://github.com/MoloBTC-Org/bsrf/blob/main/tax_track/jurisdictions/South_Africa/Objection_and_Recommendations_SARS_Draft_Guide_Taxation_Crypto_Assets_2026.md

South Africa CARF implementation status (tax track)

https://github.com/MoloBTC-Org/bsrf/blob/main/tax_track/jurisdictions/South_Africa/South_Africa_CARF_Implementation_Status.md

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This submission is a personal contribution to public discourse on regulatory policy and Bitcoin sovereignty. It does not constitute legal advice, nor does it create any attorney-client or fiduciary relationship. The views expressed are those of the signatory.

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